

DIRECTORS' REPORT

requirements of the Corporations Law and the ASX Listing Rules, the Company and Mr Bradley agreed to defer the first issue of Shares, making both issues conditional on shareholder approval.

The second agreement was with Clough Engineering Limited, pursuant to which it agreed to take a placement of 3,225,000 Shares by 29 September 2000, followed by, if approved of by shareholders at the Company's annual general meeting, 6,775,000 shares, within 7 days of that meeting.

On 15 June 2000 the Company announced that with effect from 1 July 2000 it acquired a 50% interest in OIS MOC Joint Venture Pty Ltd, to be paid for by the issue of 800,000 Shares in the Company. OIS MOC Joint Venture Pty Ltd owns the goodwill of a successful labour hire company. That company is to be renamed Mermaid Labour and Management Limited (MLML).

MLML offers a full labour hire service inclusive of industrial relations consultancy, negotiating agreements and awards and where appropriate, provides ongoing management of the labour force.

The effective date is 1 July 2000. The Company will issue 800,000 ordinary fully paid shares in Mermaid Marine Australia Limited.

There have not been any other matters or circumstances, other than those referred to in the Chairman's and Operations Reviews and/or in the financial statements and notes attached thereto, that have arisen since the end of the Financial Year that have significantly affected, or may significantly affect Mermaid's operations, the results of those operations or its state of affairs in future financial years.

FUTURE DEVELOPMENTS

The Chairman's and Operations Reviews give indications, in general terms, of likely developments in Mermaid's operations in future financial years and the expected results of those operations.

ENVIRONMENTAL REGULATION

The development of the Company's Dampier and Broome bases is subject to the approval of the Western Australian Environmental Protection Authority.

SHARE OPTIONS

As at the date of this report the Company had a total of 7,115,000 unissued shares under option as follows: **30 November 2000 Options**

As at the date of this report there are outstanding 6,500,000 options to acquire 6,500,000 ordinary shares in the Company at an issue price of 0.75 cents per ordinary share. Each of these options expires on 30 November 2000.

On 9 August 2000 the Company announced to the ASX that, subject to shareholder approval

